18 Bill wants to increase 150 by 3%
He writes down

$$150 \times 1.3 = 195$$

Bill's method is wrong.

(a) Explain why.

1.3 = 130%: this increases the amount by 30%.

A 3% increase needs the multiplier 1.03.

1 mark
Identify the wrong increase

(1)

Sally wants to decrease 150 by 3%

(b) Complete this statement to show how Sally can decrease 150 by 3%

$$150 \times \text{0.97} = \text{145.5}$$

(1)

1 mark
97% remains: both blanks correct

(Total for Question 18 is 2 marks)